

CASH STILL KING

► OVER THE PAST

decade, digital modes of payment have seen a massive surge in usage, especially after the pandemic, with Unified Payments Interface (UPI)-led QR codes arming small merchants and the public with instant payments. Today, UPI-based payments, which clock over 12 billion transactions a month, have cornered more than 20% market share in retail payments.

And yet, the currency in circulation (CIC) has grown. Per data, the CIC-to-GDP ratio peaked at 14.4% in FY21, and then dipped to 13.2% in FY22, and is currently around 12%. What explains this dependence on cash?

That is because UPI payments are eating into other digital payments like

debit cards and NEFT—the shares of both have been in decline. A recent study by the Reserve Bank of India (RBI) that looked into the high cash-to-GDP ratio revealed that digital payments are substituting the transactional demand for cash, but not the use of cash as a store of value. There is still a tendency to maintain some cash for emergencies. Higher-denomination notes like ₹500 and ₹2,000 (which has been withdrawn) also act as a store of value. In large parts of India, families tend to store cash at home for medical emergencies or for ceremonies like marriage, etc. High cash usage is also prevalent in some sectors like real estate and construction, jewellery, export units, and MSMEs.



Besides, a report by CMS Info Systems, a cash management firm, had pointed out that there are specific periods of surge in cash usage. For instance, spikes were observed during the festive and wedding seasons between

October and December in FY22 and during October, December, and March of FY23. The report suggested that even online shoppers preferred paying cash on delivery. Another aspect, revealed by the RBI study, is concentration of

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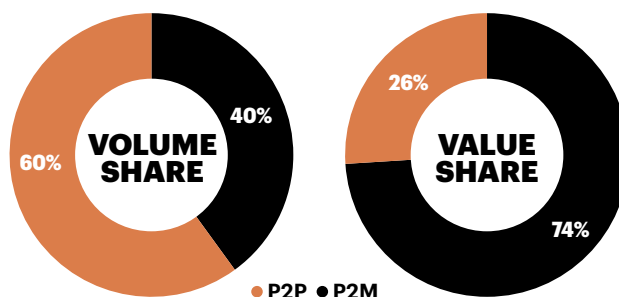
at the point of consumption through credit on UPI represents disruptive innovation. According to Saumeet Nanda, Founder of SalarySe, “Credit-on-UPI will help sachetise the credit market, which is a key expectation of the middle class, given high small merchant adoption and the UPI-based digital form factor.”

Chaluvadi of YES Bank feels this could lead to new use cases and customer segments entering the credit ecosystem. “The ultimate success of these initiatives will largely depend on robust credit assessment and collection strategies. Early applications may emerge under co-lending agreements involving collaborations between banks and non-banking financial companies (NBFCs).”

Per NPCI, major lenders like SBI, HDFC Bank, ICICI Bank, Axis Bank, and Punjab National Bank have already gone live with the credit lines feature on UPI, and others are working on it. Of course, many aspects of this feature need to be explored. Asks Moghe: “Can a credit line on UPI be credit-free for a certain period?” Currently, most

P2P AND P2M

- Person-to-person (P2P) transactions are free, with individuals not incurring any charges
- Person-to-merchant transactions account for the lion's share of the value of UPI payments



NOTE DATA AS OF DECEMBER 2023 SOURCE NPCI